

EVG1010 - Daniel & Grace Kim - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Daniel J. Kim (XXX-XX-3318) / Grace H. Kim (XXX-XX-7742)
Address	2218 164th Ave NE, Bellevue, WA 98008
Filing status	Married filing jointly
Dependents	Ethan S. Kim (son, 2009) - CTC; Chloe M. Kim (daughter, 2013) - CTC. Ethan files his own 2025 return (EVG1021) and checks 'can be claimed as a dependent'.
Digital assets question	No
Forms included	1040, Schedules 1 (none), 2, 3 (none), A, B, D, H, 8812, Forms 8949, 8814 (Chloe), 2441, 8959, 8960
Household employer	EIN 00-9087731 (obtained 03/03/2026); Form W-2/W-3 for Maria Lopez filed with SSA 03/10/2026; corrected 1099-NEC (\$0) filed
State	None - Washington has no individual income tax. WA capital gains excise: not required (long-term gains far below WA standard deduction).
Filing method	E-file (Form 8879 signed 04/11/2026); refund by direct deposit to checking ****6630

Key figures	Amount
Total income (1040 line 9)	448,778
Adjusted gross income (line 11)	448,778
Deduction (line 12e) - Itemized (Schedule A)	46,459
QBI deduction (line 13a)	0
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	402,319
Total tax (line 24)	85,900
Total payments (line 33)	87,480
REFUND (line 35a)	1,580

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	429,850
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	429,850
2a	Tax-exempt interest	0
2b	Taxable interest	1,452
3a	Qualified dividends	5,904
3b	Ordinary dividends	6,811
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	10,665
8	Additional income from Schedule 1, line 10	0
9	Total income	448,778
10	Adjustments to income from Schedule 1, line 26	0
11	Adjusted gross income	448,778
12e	Standard deduction or itemized deductions (Itemized (Schedule A))	46,459
13a	Qualified business income deduction (Form 8995/8995-A)	0
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	46,459
15	Taxable income	402,319
16	Tax (incl. Form 8814 child tax)	80,885
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	80,885
19	Child tax credit / credit for other dependents (Schedule 8812)	1,950
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	1,950
22	Subtract line 21 from line 18	78,935
23	Other taxes, including self-employment tax, from Schedule 2, line 21	6,965
24	Total tax	85,900
25a	Federal income tax withheld - Form(s) W-2	86,280
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	1,200
25d	Total withholding	87,480
26	2025 estimated tax payments and amount applied from 2024 return	0
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	0
33	Total payments	87,480
34	Amount overpaid	1,580
35a	Refund	1,580
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Rainier Securities (joint ****4418)	1,452
2	Total interest	1,452
4	Taxable interest (to Form 1040, line 2b)	1,452
5.1	Rainier Securities (joint ****4418)	6,811
6	Ordinary dividends (to Form 1040, line 3b)	6,811
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Form 8949 (Box B)

Line	Description	Amount
STC1	38 sh NSCS (RSU sell-to-cover) acq 02/15/2025 sold 02/18/2025 proceeds 6,817 basis 0 code B adj -6,840	(23)
STC2	38 sh NSCS (RSU sell-to-cover) acq 05/15/2025 sold 05/15/2025 proceeds 6,549 basis 0 code B adj -6,555	(6)
STC3	38 sh NSCS (RSU sell-to-cover) acq 08/15/2025 sold 08/15/2025 proceeds 7,041 basis 0 code B adj -7,030	11
STC4	38 sh NSCS (RSU sell-to-cover) acq 11/15/2025 sold 11/17/2025 proceeds 6,912 basis 0 code B adj -6,935	(23)
S5	82 sh NSCS (RSU 02/15/2025 lot) acq 02/15/2025 sold 12/05/2025 proceeds 15,588 basis 0 code B adj -14,760	828

Form 8949 (Box E)

Line	Description	Amount
S6	150 sh NSCS (RSU 03/15/2023 lot, FMV 118.40) acq 03/15/2023 sold 06/10/2025 proceeds 26,430 basis 0 code B adj -17,760	8,670

Schedule D

Line	Description	Amount
ST box B	Short-term from Form 8949 box B (proceeds 42,908; cost 0; adj -42,120)	788
7	Net short-term capital gain or (loss)	788
LT box E	Long-term from Form 8949 box E (proceeds 26,430; cost 0; adj -17,760)	8,670

Line	Description	Amount
13	Capital gain distributions	1,207
15	Net long-term capital gain or (loss)	9,877
16	Combine lines 7 and 15	10,665

Schedule A

Line	Description	Amount
1	Medical and dental expenses	0
3	7.5% of AGI	33,658
4	Deductible medical	0
5a	General sales taxes	3,912
5b	State and local real estate taxes	14,236
5c	State and local personal property taxes	0
5d	Add lines 5a through 5c	18,148
5e	Smaller of line 5d or SALT limit (\$40,000 after MAGI phase-down)	18,148
7	Total taxes	18,148
8a	Home mortgage interest and points reported on Form 1098	24,311
8e	Add lines 8a through 8c	24,311
10	Total interest	24,311
11	Gifts by cash or check	4,000
12	Other than by cash or check	0
14	Total gifts to charity	4,000
17	Total itemized deductions	46,459

Form 2441

Line	Description	Amount
employer_benefits	employer benefits	5,000
exclusion	exclusion	5,000
taxable_benefits	taxable benefits	0
qualified_expenses_allowed	qualified expenses allowed	0
pct	pct	0.2
credit	credit	0

Schedule 8812

Line	Description	Amount
4	Number of qualifying children under 17 with SSN	2
6	Number of other dependents	0
8	Tentative credit	4,400
10-11	Phase-out reduction (MAGI 448,778 vs 400,000)	2,450
12	Credit after phase-out	1,950
14	Nonrefundable CTC/ODC (to Form 1040 line 19)	1,950
27	Additional child tax credit (to Form 1040 line 28)	0

Schedule 2

Line	Description	Amount
9	Household employment taxes (Schedule H)	4,326
11	Additional Medicare Tax (Form 8959)	1,920
12	Net investment income tax (Form 8960)	719
21	Total other taxes (to Form 1040, line 23)	6,965

Form 8959

Line	Description	Amount
7/13	Additional Medicare Tax (Medicare wages 463,350; SE 0; threshold 250,000)	1,920
24	Additional Medicare Tax withheld by employer(s)	1,200

Form 8960

Line	Description	Amount
8	Total investment income	18,928
12	Net investment income	18,928
13-16	MAGI 448,778 over threshold 250,000	198,778
17	Net investment income tax	719

Schedule H - Household Employment Taxes

Schedule H (Form 1040) - Household Employment Taxes - employer EIN 00-9087731	Amount
A. Paid any one household employee cash wages of \$2,800 or more in 2025? (Maria Lopez)	Yes
Line 1 Total cash wages subject to social security tax	28,000
Line 2 Social security tax (x 12.4%)	3,472
Line 3 Total cash wages subject to Medicare tax	28,000
Line 4 Medicare tax (x 2.9%)	812
Line 5/6 Additional Medicare Tax withholding / federal income tax withheld	0
Line 8 Total social security, Medicare and income taxes	4,284
C. Total cash wages of \$1,000 or more in any calendar quarter of 2024 or 2025?	Yes -> Part II (FUTA)
Line 13 Paid unemployment contributions to only one state (WA)?	Yes
Line 14 Paid all state unemployment contributions for 2025 by April 15, 2026? (ESD paid 04/06/2026)	Yes
Line 15 Were all wages that are taxable for FUTA also taxable for state unemployment?	Yes
Line 16 Total cash wages subject to FUTA (first \$7,000)	7,000
Line 17 FUTA tax (x 0.6%)	42
Line 26 Total household employment taxes (to Schedule 2, line 9)	4,326
Memo: employee share of FICA paid by employer (not withheld) - included in Maria's W-2 box 1 only	2,142

Form 8814 - Chloe (parents' election)

Form 8814 - Parents' Election To Report Child's Interest and Dividends - Chloe M. Kim (XXX-XX-8420)	Amount
Line 1a Child's taxable interest (Cascade FCU)	1,900
Line 2a Ordinary dividends	0
Line 3 Capital gain distributions	0
Line 4 Total	1,900
Line 5 Base amount	2,700
Line 6 Subtract line 5 from line 4 (amount included in parents' income - Sch 1 line 8z)	0
Line 7-8 Tax computation: smaller of line 4 or \$2,700, less \$1,350	550
Line 9/10 Tax (10%) - to Form 1040 line 16 (box 1 checked - Form 8814)	55
Ethan S. Kim - NOT eligible (capital gain from a sale + wages) - files own return, client EVG1021 (Form 8615)	

RSU cost-basis adjustment (Form 8949 code B)

Sale	Form 8949 box	Date acquired	Date sold	Proceeds	1099-B basis	Adj. basis (FMV at vest)	Code	Col (g) adj.	Gain/(loss)
STC1	B	02/15/2025	02/18/2025	6,817	0	6,840	B	(6,840)	(23)
STC2	B	05/15/2025	05/15/2025	6,549	0	6,555	B	(6,555)	(6)
STC3	B	08/15/2025	08/15/2025	7,041	0	7,030	B	(7,030)	11
STC4	B	11/15/2025	11/17/2025	6,912	0	6,935	B	(6,935)	(23)
S5	B	02/15/2025	12/05/2025	15,588	0	14,760	B	(14,760)	828
S6	E	03/15/2023	06/10/2025	26,430	0	17,760	B	(17,760)	8,670
Total				69,338	0			(59,880)	9,458

Schedule A - sales tax vs income tax and itemized vs standard

Schedule A - SALT election (WA has no income tax)	Amount
Option 1 - state/local income taxes: WA PFML employee premiums (W-2 box 14) treated as income taxes per Rev. Rul. 2025-4	2,011
Option 2 - general sales tax: IRS Sales Tax Deduction Calculator (ZIP 98008, family of 4, income per worksheet; 10.1% combined rate)	3,912
Elected: general sales tax (line 5a, box 5a checked)	3,912
Real estate tax (King County, per 1098 box 10 / receipt)	14,236
SALT total vs cap \$40,000 (MAGI < \$500,000 - no phase-down)	18,148
Mortgage interest (acquisition debt \$648k < \$750k post-2017 limit - fully deductible)	24,311
Charitable cash	4,000
Total itemized	46,459
Standard deduction MFJ	31,500

Form 1099-Q - K-12 tuition (not taxable)

Form 1099-Q review - WA529 (beneficiary Chloe)	Amount
Gross distribution 08/12/2025 (paid to Lakeside Hills Academy)	10,000

Form 1099-Q review - WA529 (beneficiary Chloe)	Amount
Earnings (box 2)	3,123
Qualified K-12 tuition (limit \$10,000 per beneficiary for 2025)	10,000
Adjusted qualified education expenses >= distribution -> taxable earnings	0
No AOTC/LLC claimed for the same expenses (K-12 is not eligible for education credits)	